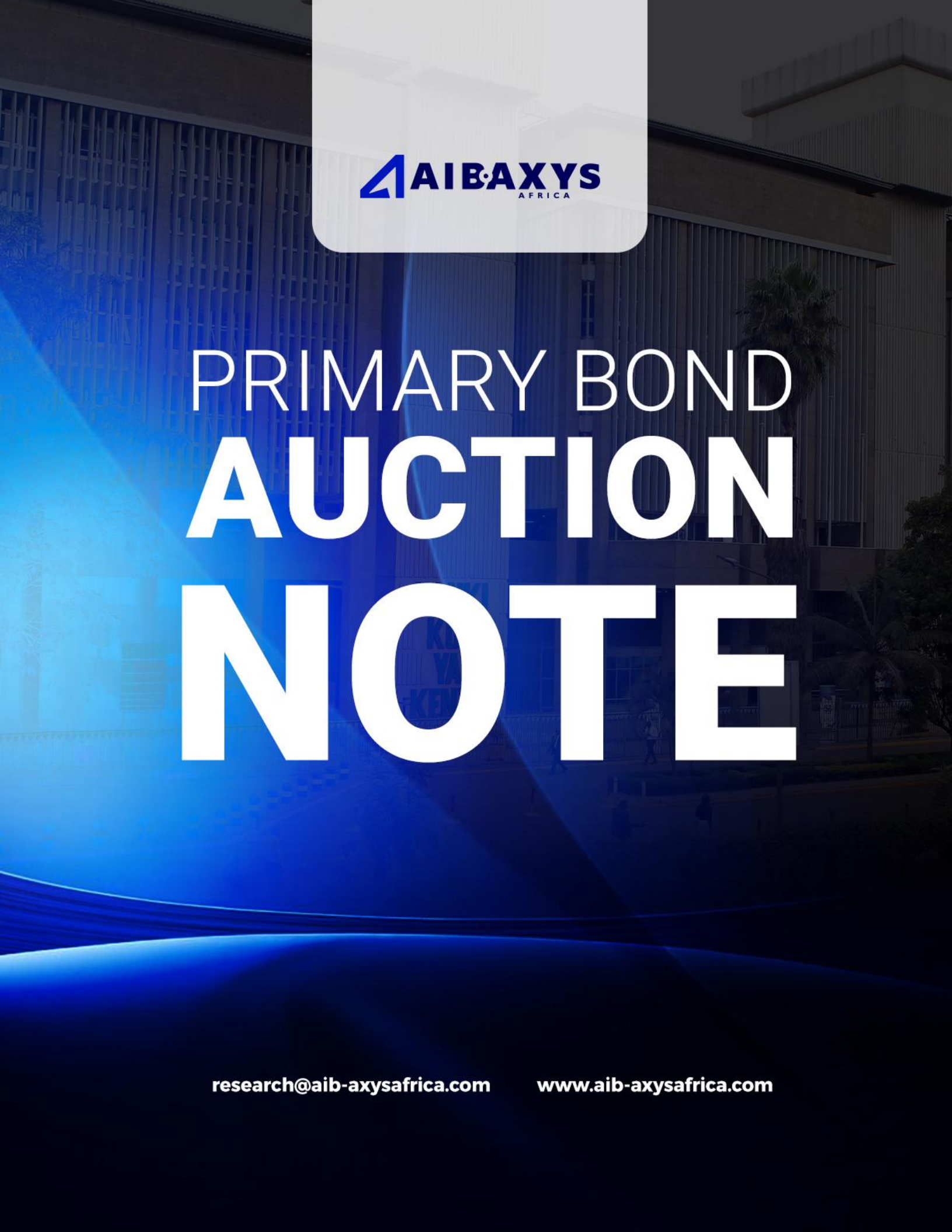

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research@aib-axysafrica.com
www.aib-axysafrica.com



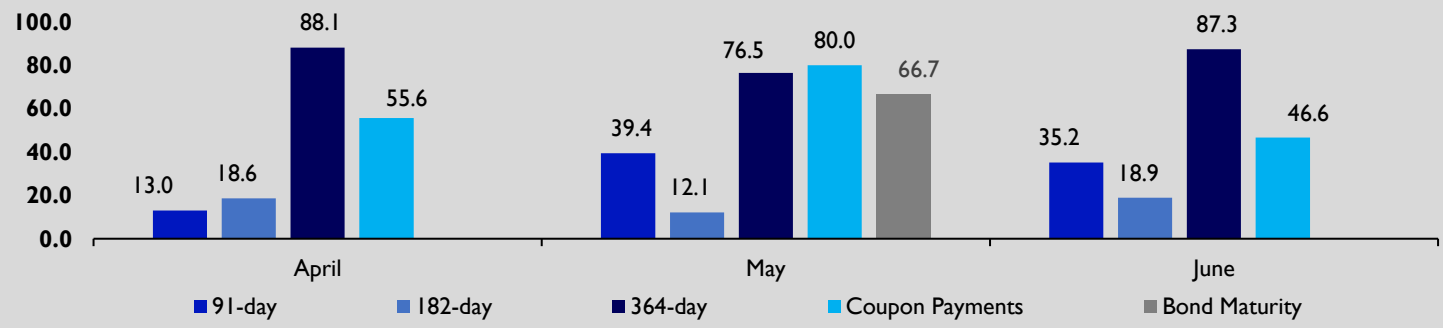
AIB-AXY May II 2026 Primary Bond Auction Note

Summary

- **The Exchequer is seeking to raise KES 50.00Bn through the re-opening of the FXD3/2019/015 and FXD1/2021/020** treasury bonds earmarked for budgetary support in FY25/26.
- Inflationary risks have started to emerge, prompting investors to focus on protecting their returns. This is evident in recent bond auctions and the T-bill spot market, where yields appear to have reached an inflection point and have begun to rise after a sustained easing cycle since August 2024.
- In this auction, we expect the recent trend to persist. Bidders are likely to become more aggressive as discounted government securities push yields higher, helping preserve real returns. In addition, we have observed a growing investor preference for shorter-dated papers in the spot market, consistent with the outcome of the last auction, where bids were heavily skewed toward the paper with the shorter tenor to maturity despite the other papers offering attractive coupons. This suggests that investors are increasingly seeking near-term liquidity amid a cloudy investment landscape, and we expect this theme to gradually play out in the primary market.
- **Our recommended competitive bidding yield is indicated in Table 1 on the right.**

Table 1: Key Auction Highlights

FXD3/2019/015 & FXD1/2021/020	
Issuer:	Republic of Kenya
Total Amount:	KES 50.0 billion
Purpose:	Budgetary Support
Tenor:	**FXD3/2019/015** - (8.3 Years)– Re-opened **FXD1/2021/020** - (15.3 Years)– Re-opened
Coupon Rate:	**FXD3/2019/015** – 12.3400% **FXD1/2021/020** – 13.4440%
Price Quote:	Discounted/Premium/Par
Period of sale:	13th May 2026 to 20th May 2026
Minimum Amount:	KES 50,000.00
Taxation:	10.00%
Maturity Dates:	**FXD3/2019/015** – 10th -Jul-2034 **FXD1/2021/020** – 22nd -Jul-2041
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**FXD3/2019/015 – 12.94%-13.24%** **FXD1/2021/020 – 13.44%-13.64%**



Source: CBK, AIB-AXYS Africa Research

Term Structure of Interest Rates

We expected yield curve normalization in 2026, in tandem with less aggressive rate cutting as guided by policymakers, with expectations of at least three rate cuts for the year. Inflation is a key consideration for both policymakers and investors. The ongoing conflict in the Middle East has emerged as a key risk to inflation due to disruptions in oil supply. Given that oil affects key sectors of the economy, investors have priced in higher inflation in the near term, while policymakers have decided to keep rates steady as they continue to assess developments in the Middle East. Market expectations for higher inflation were confirmed in the April data, where inflation rose sharply.

With expectations of sticky inflation, the market has been discounting securities in search of higher yields to compensate for rising inflation. In turn, the yield curve has seen a pickup in yields, with an approximate average increase of 33.0 bps recorded in April, alongside a notable rise in the 10 year - 15 year benchmarks.

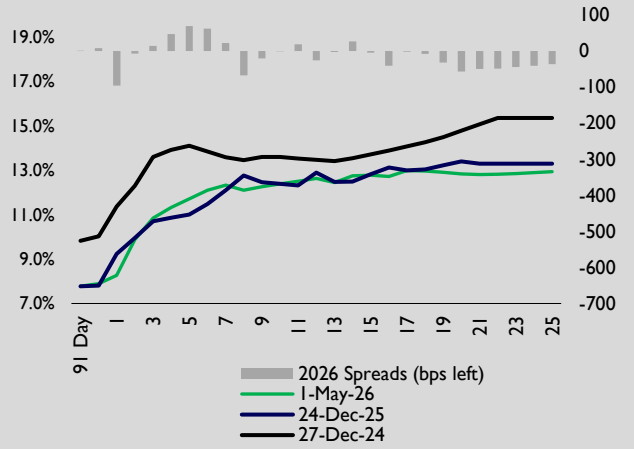
Market Liquidity

The Kenya Shilling Overnight Interbank Average (KESONIA) increased to an average of 8.75% in April from 8.70% in March. Additionally, activities declined by 23.1% in a monthly basis.

Price Levels

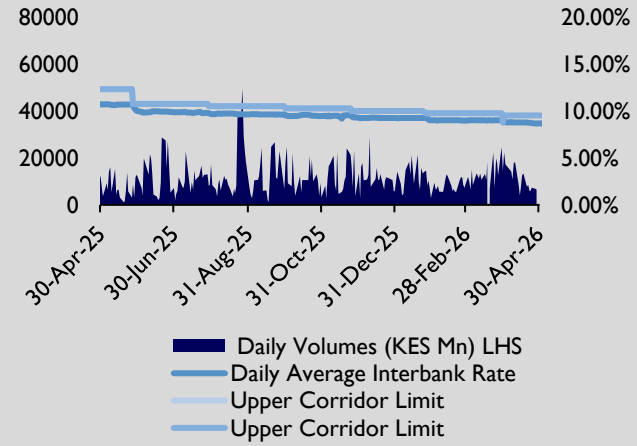
April inflation came in at 5.6%, a notable increase from 4.4% recorded in March 2026, coming in above our expectations and signaling a pickup in price pressures. Food prices recorded mixed movements during the month, with declines in items such as cabbage and oranges offering partial relief, while tomatoes (+9.0%), cooking oil, and potatoes registered notable increases, pointing to emerging supply-side pressures. Meanwhile, transport inflation surged, driven by sharp increases in fuel prices, with petrol and diesel rising by 10.8% and 17.9%, respectively, feeding into higher matatu and boda boda fares. Housing-related costs also rose moderately, with increases in LPG prices offsetting slight declines in electricity tariffs. Looking ahead, inflation is expected to remain within the target range but with a clear upward bias, as the recent increase in fuel prices and elevated geopolitical tensions continue to pose risks through higher global oil prices and imported inflation.

Chart 2: Domestic Yield Curve Evolution



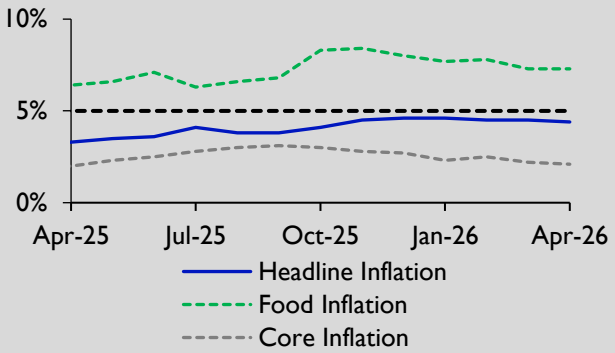
Source: CBK, AIB-AXYS Africa Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AIB-AXYS Africa Research

Chart 4: Price Levels

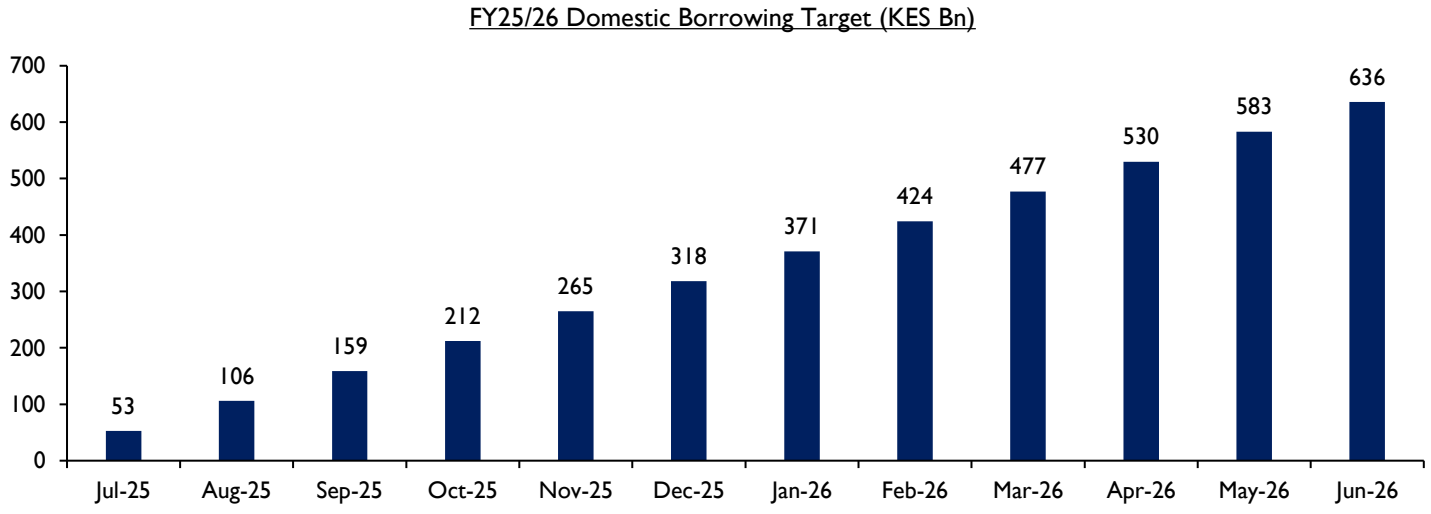


Kenya National Bureau of Statistics, AIB-AXYS Africa Research

Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the FXD3/2019/015 - (8.2 Years)					
FXD2/2019/015	24-April-2034	7.9	81,644.75	12.7340%	12.1156%
FXD3/2019/015	**10-Jul-2034**	**8.2**	**147,465.84**	**12.3400%**	**12.1639%**
FXD1/2020/015	5-Feb-2035	8.8	205,019.83	12.7560%	12.2967%
Comparable Yields for the FXD1/2021/020 - (15.2 Years)					
SDB1/2011/030	21-Jan-2041	14.7	57,449.31	12.0000%	12.7250%
FXD1/2021/020	**22-July-2041**	15.2	129,934.10	**13.4440%**	**12.7813%**
FXD1/2018/025	**25-May.2043**	17.1	228,346.53	**13.4000%**	**13.3185%**

Source: CBK, AIB-AXYS Africa Research



Source: CBK, AIB-AXYS Africa Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)
Jun-25	50,000	FXD1/2020/015 Re-opened	9.7		12.756%	13.606%	13.487%
		SDB1/2011/030 Re-opened	15.7	**202.7%**	12.000%	14.181%	13.998%
Jul-25	50,000	FXD1/2018/020 Re-opened	12.8		13.200%	13.945%	13.899%
		FXD1/2018/025 Re-opened	18.0	**153.8%**	13.400%	14.435%	14.348%
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%	
		IFBI/2022/019 Tapsale	15.6	**414.9%**	12.965%	14.237%	
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%
Nov-25	40,000	FXD1/2012/020 Re-opened	7.0		12.000%	12.638%	12.471%
		FXD1/2022/015 Re-opened	11.4	**232.3%**	13.994%	13.467%	13.339%
	40,000	FXD3/2018/015 Re-opened	8.7		12.340%	12.746%	12.574%
		FXD1/2022/025 Re-opened	21.9	**289.7%**	14.188%	13.848%	13.746%
Dec-25	40,000	SDB1/2011/030 Re-opened	15.2		12.000%	13.439%	13.325%
		FXD1/2021/025 Re-opened	20.4	**132.8%**	13.924%	13.643%	13.620%
Jan-26	60,000	FXD1/2019/20 -Reopened	13.2		12.873%	13.329%	13.262%
		FXD1/2022/025 Re-opened	21.8	**119.2%**	14.188%	13.791%	13.756%
Feb-26	50,000	FXD3/2019/015 Re-opened	8.4		12.340%	12.388%	12.184%
		FXD1/2018/025 Re-opened	17.3	**427.5%**	13.400%	13.450%	13.362%
Mar-26	60,000	FXD1/2019/20 -Reopened	13.1		12.873%	12.786%	12.748%
		FXD1/2021/025 Re-opened	20.1	**195.7%**	13.924%	13.361%	12.949%
Apr-26	40,000	FXD1/2020/015- Re-opened	8.9		12.756%	12.272%	12.185%
		FXD1/2018/025 Re-opened	17.3	**187.2%**	13.400%	13.179%	12.987%
Apr-26	20,000	SDB1/2011/030 Re-opened	14.9		12.000%	13.110%	12.996%
		FXD1/2026/030 - New Issuance	30.0	**191.7%**	12.500%	13.867%	13.755%
May-26	80,000	FXD1/2012/020 Re-opened	6.6		12.000%	12.466%	12.457%
		FXD1/2019/020 Re-opened	13.0		12.873%	13.314%	13.213%
		FXD1/2021/025 Re-opened	20.1	**132.5%**	13.924%	13.766%	13.695%
Average*	**50,714**		**14.7**	**221.8%**	**13.031%**	**13.412%**	**13.204%**

*Source: CBK, AIB-AXYS Research, *- Yearly average results excludes tap sales*



CONTACTS

Research Desk

Email: research@aib-axysafrica.com

Equities Dealing

Email: trading@aib-axysafrica.com

Bond Dealing

Email: trading@aib-axysafrica.com

Global Markets & Offshore products

Email: invest@aib-axysafrica.com

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